



Second Day Play

The Second Day Play dynamics:

- In-Play stock trended on day 1.
 - Trended meaning that it had a range of more than 1 ATR.
 - Closed in the upper 20% or lower 20% of the day's range
 - Traded more than average RVOL (relative average volume) on day 1
- We identify key levels from day 1 price action
 - Key support areas where buyers were present on day 1
 - These levels should be very distinct and clearly identifiable, if you look at the intraday chart from day 1, these levels are typically very obvious with multiple touches and bounces off the key support level.
- Since many Big Players (hedge funds and institutions) need to enter large positions over days, they will often respect the levels from day 1 quite well as the Big Player is buying based on an average price over a period of days.
 - For this trade, we look for a distinct and aggressive move into a key level of support from day 1, a move that drives down aggressively from the open, directly into the prior support area.
 - We are looking for a distinct rejection of the area that was supported on day 1, and looking to see the Big Players from day 1 come back and buy again, seeing the support from day 1 act as support again on day 2.

The exact rules of ENTRY (all rules the exact same, just inverted for a short trade):

- After the day 1 support level is tested, we enter aggressively when the first candle closes above a prior candle high.
 - Traders on our desk use 1 or 2-minute charts to identify the candle appropriately, but we have seen this work just as well with 5-minute charts.
- When the first candle closes above a prior candle high,
 - this is the "Big Player" candle, we enter aggressively.
 - Aggressively means entering the long position by paying the offer.





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The exact rules of STOP placement:

- Hard stop Trade - Potential of 2 attempts
 - We place our stop .02 below the low of the low of the Support area (also should be the low of the day.)
 - If we are stopped, we can re-enter if the prior bar candle high is broken to the upside again within 5 minutes.

The exact rules of EXIT:

This is a Move2Move trade with a “Measured Move” target

- The first move is often quick and aggressive, putting us in the money fast as the price climbs off the support level to test prior-day resistance.
 - This gives way to a slight pullback that MUST hold the initial move (or we exit our position)
- We look for a second, fast, accelerated move to a new high of the day
 - We target twice the height of the day 1 range to exit our position

Factors that Increase the odds of success:

- The speed of the move into the area of support from day 1
 - The stock is In-Play, and some traders will be taking profits from day 1 right on the open if the stock opens higher, so we look for aggressive selling, aggressive profit taking from the open into the area below that is still acting as support, looking for the sustained, passive demand for the stock (those Big Players from day 1) to step back in and continue to accumulate the stock as it comes into the support area.
- Location in Range of support level
 - We want to trade off support levels that are in the upper 1/3 of the entire day 1 range.
 - We are looking for passive, but urgent buyers, Big Players with lots of stock to buy, but they are not chasing (yet), these Big Players should not let the stock to get much lower than the day 1 support
- Market trending in the direction of the trade you are making
 - If SPY, QQQ, and IWM are trending in the direction of our trade.
 - If the sector is trending similarly, it can help our trade as there is large buying across the sector



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Factors that Decrease the odds of success:

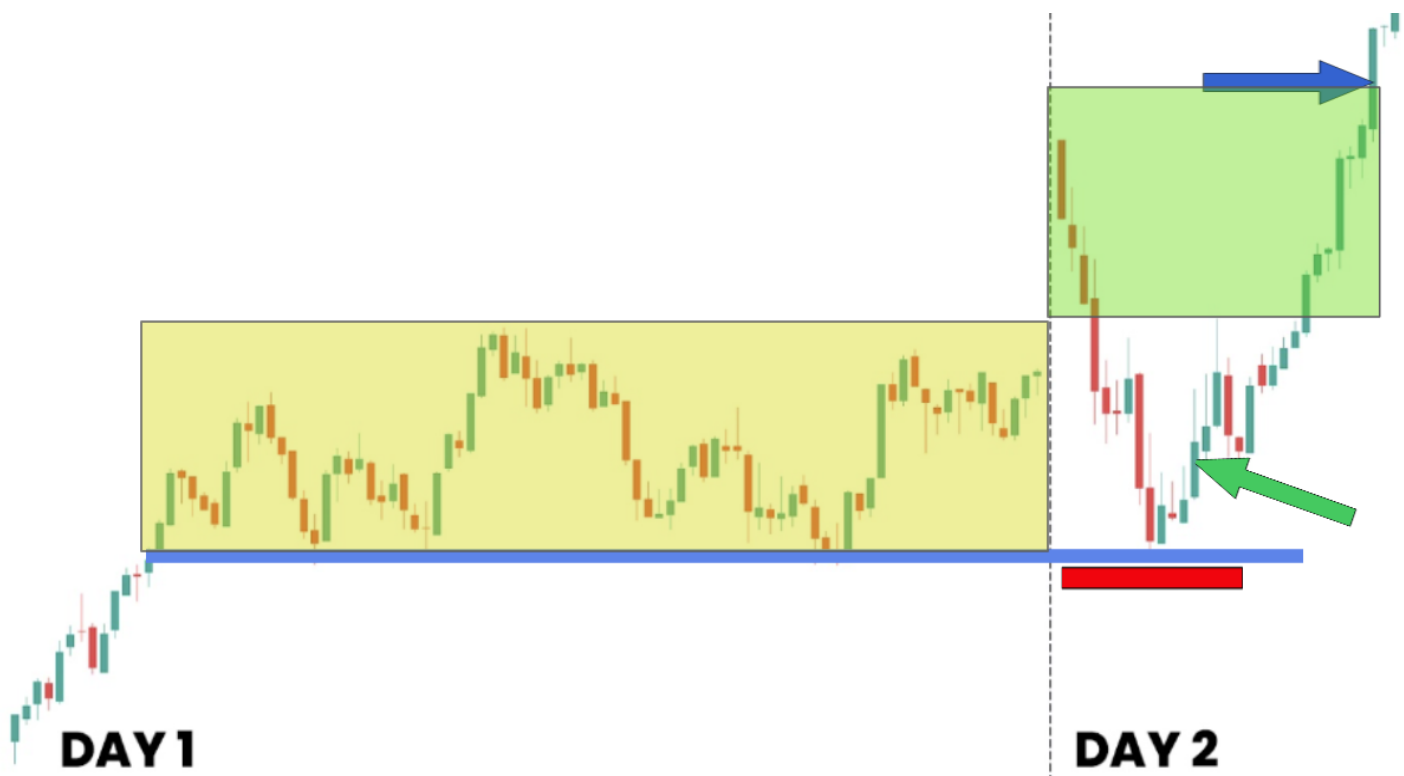
- Trending, sustained, slow, methodical, price action into the area of prior resistance (now support).
 - If the move lower from the open is sustained, if it grinds lower, not extends lower, we want to be especially careful as the buyers may have been trying to step in already and sellers are still exiting with more supply than we want for this trade. (If there are 2 “waves” to the selling, it decreases the odds this trade will work successfully.
- Too much “gap up” after day 1.
 - Ideally, we will have a gap up of less than 1/3 of the range from day 1.
- Fighting a bigger-picture trend on the day.
 - Like the factor that increases the probability, we don’t want to fight the market against this trade.

The ideal times of day:

- Morning trade (The move into support should occur during the open and our trade trigger before 10:30 am EST)

When do we avoid the Second Day Play entirely?

- We will never make this trade when there is more volume on the open of day 2 than there was volume on day 1
 - Visual check, just know what the average volume bar was on day 1 and if it’s greater than that on day 2, we pass on this play as there is an unusual amount of downside participation on day 2.



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